

ALL INDIA DISCOMs ASSOCIATION (AIDA)

Minutes of 1st Meeting of Committee on Planning and Procurement of Bulk Power/Capacity

Minutes of 1st Meeting of Committee on Planning and Procurement of Bulk Power/Capacity held virtually on 19th August, 2025 at 12.00 noon.

1. Welcome and Introduction

At the outset, Shri Satyendra Nath Kalita, Director (Regulatory Affairs), AIDA and Convenor of the Committee, welcomed the members of the AIDA Committee on Planning and Procurement of Bulk Power/Capacity. He underlined the importance of Committee's role in identifying issues, provide feedback to AIDA, and facilitate focused studies so that these matters can be taken up at the appropriate level.

He also introduced the Committee's objectives and announced a presentation given by Shri Kamlesh Kumar Jangid, Director (Finance), Gujrat Urja Vikas Nigam Ltd.

2. Presentation by Shri Kamlesh Kumar Jangid

Shri Kamlesh Kumar Jangid, Director (Finance) (GUVNL): presented a multi-tiered approach to power procurement planning, advocating for a seven to eight-year forecast to address future demand effectively. He noted recent initiatives by the Central Electricity Authority and the Ministry of Power as significant steps toward structured planning, which many distribution companies previously lacked. He stressed the importance of refining plans annually to secure long-term arrangements for projected demand, warning that without proactive planning, organizations risk inefficiencies. Continuous planning at various intervals is essential for meeting both immediate and long-term energy requirements.

He also focused on the role of renewable energy in managing power purchase costs was a key focus, as 15% of their energy is sourced from renewables. GUVNL successfully shifted 97% of agricultural demand to daytime hours, leveraging solar energy to optimize costs. The organization has seen a decrease in distribution losses attributed to competitive bidding processes, particularly for wind energy. He emphasized the need for increased private participation in generation to allocate more funds for upgrading transmission and distribution infrastructure, which is crucial for enhancing service quality and consumer satisfaction.

Shri Jangid, outlined their strategy for managing seasonal power demands through short-term tenders and discussed the necessity of adopting battery storage solutions to address grid balancing challenges. He added that they have secured contracts for 1,200 megawatts of battery storage, aiming for 10,000 megawatts by 2030.

3. Discussions and Interventions

Shri Sanket Srivastav, NPCL, raised point on the impact of rising transmission charges under GNA on overall power purchase cost, citing significant increases witnessed in UP.

Shri Jangid, GUVNL clarified that GNA charges depend on demand-generation balance and planning. Average cost impact observed was around 26 paise/unit. States can optimize GNA by accurate planning and enhancing in-state generation.

Shri Deepak Raizada, UPPCL queried whether Gujarat is considering complementary power

procurement with other states, citing the Morana MP-UP model. He suggested that in such joint projects, where off-take is shared seasonally, VGF support would also be extended and informed that a request has been made to MoP. A query was raised on the absence of clear guidelines for tariff determination in cases where power is sold bilaterally outside the banking mechanism. It was highlighted that while UP undertakes banking with several states, situations arise when a state is unable to return banked power but is willing to purchase it. Clarification was sought on how the tariff should be decided and whether bilateral agreements can be entered into in such cases. He also flagged concerns over FDRE contracts allowing developers to alter project configurations within a year of signing, leading to distortions in planning, and stressed that such provisions should be avoided in future bids.

Shri Jangid, GUVNL responded that resource sharing is always beneficial, citing the analogy of shared mobility reducing costs. On FDRE, it was noted that developers tend to increase capacity to avoid default and recover fixed costs, though this may distort evaluation if peak and off-peak supplies are not clearly defined. It was suggested that bidding documents should specify the expected CUF/PLF split between peak and off-peak hours to ensure fair and competitive evaluation.

4. Concluding Remarks

Mr. Alok Kumar, DG, AIDA in his closing remarks underscored Gujarat's leadership in renewable energy integration and smart procurement practices, particularly in battery capacity, urging the committee to explore various issues to enhance planning and procurement for member Discoms. He also responded that such clauses permitting post-bid configuration changes may be removed from FDRE contracts. He advised Shri Raizada to submit a detailed note on this issue, along with separate references for VGF, FDRE, and sale of power matters, assuring that AIDA will examine and take up these issues appropriately. He noted that several strong action points have emerged for further deliberation.



(Satyendra Nath Kalita)

Convenor, AIDA Committee